



STRATHMORE UNIVERSITY

Strathmore Business School

Master of Business Administration

END OF SEMESTER EXAMINATION

MBA 8101: FINANCIAL AND MANAGERIAL ACCOUNTING

DATE: Monday, 3rd August 2015

Time: 3 hours

Instructions

1. This examination consists of **TWO** sections.
2. Section A has **ONE COMPULSORY** question.
3. Section B has three questions. Answer **ANY TWO** questions.

SECTION A: (COMPULSORY)

QUESTION 1 (50 Marks)

Refer to the case given to answer this question.

- a) Briefly explain FIVE activities that the organization carries out. **(5 marks)**
- b) Using the group financial statements, highlight the key incomes, expenses, assets, liabilities, capital and cash flows of the organization and explain the possible reasons for their change from 2012 to 2013. **(20 marks)**

Hint: You can present your answer as follows:

Key Items	2012 figures	2013 figures	Change	Possible reason for change
	Sh.m	Sh.m	Sh.m	

- c) (i) Compute the following ratios for the organization for the past five years since 2013

(Use end of year balances):

- Net Interest Margin **(4 marks)**
- Net Profit Margin **(4 marks)**
- Return on Equity **(4 marks)**
- Debt ratio **(4 marks)**

(ii) Comment on the profitability and solvency of the organization over the five years
(4 marks)

d) Describe FIVE non-financial measures of performance that the organization can use in evaluating its performance and how it compares with the actuals in the organization for the year just ended 2013 (You can focus on sales and marketing).

SECTION B:

QUESTION 2 (25 Marks)

a) Social report, Environmental report, audit report and corporate governance report are some of the reports provided in an annual report of listed companies in addition to the traditional financial statements.

Required

Briefly explain, the contents and importance of providing the four reports for a company.
(8 marks)

b) Wislon Limited was registered on 1.1.2014 to supply electronic appliances to other retailers. The company immediately issued for cash 100,000 shares (Par value \$100) at a price of \$150 each. All the cash that was received was banked immediately after payment of issue costs of \$50,000 (Should be recovered from the share premium). The following transactions took place during year 2014:

1. The company purchased Land and buildings for \$2 million and \$5 million respectively by issuing cheques. The buildings had an estimated useful life of 50 years and depreciation was straight line. The market value of the land as at 31 December 2014 was \$2.1 million and the directors wished to reflect this in the financial statements.
2. Furniture and Motor vehicles were purchased for \$ 1million each by issuing cheques. Depreciation was to be provided at the rate of 20% p.a.
3. The company paid for trading license at \$2 million by cheque. The trading license was renewable after five years.
4. The company borrowed a loan of \$5 million on 1 January 2014 that required interest to be paid semi- annually on 30 June and 31 December at the rate of 10% per annum. The loan was banked in full. The loan is payable evenly over five years at \$1 million each with first installment due on 31 December 2014. The installment for year 2014 of \$1 million and interest from July 2014 to December 2014 were all paid on 5th January 2015. Hint: This means as at 31 December 2014, the instalment and interest for last six months were unpaid.

5. Purchased inventory and paid by cheque at \$6 million and on credit for \$8 million. The credit suppliers had been paid \$5.5 million by the year end. Some suppliers gave a discount of \$0.1 million for early settlement.
6. Sold goods for cash at \$ 8 million and on credit for \$12 million. \$5 million of the cash that was received from the customers was banked while the balance was used to pay some expenses whose details are given later. The credit customers had paid \$9 million by the year end directly in the bank. Some customers were given a discount of \$0.2 million for prompt payment customers of \$0.1 million were considered bad.
7. The following expenses were paid out of cash:

(i)	Electricity \$ Telephone	\$0.3 million
(ii)	Postage , Transport & Repairs	\$0.5 million
(iii)	Wages	\$0.6 million
(iv)	Others miscellaneous	\$0.1 million
8. The following additional items were paid from the bank

(i)	Salaries	\$2 million
(ii)	Purchase of financial assets \$ 3 million.	
(iii)	Installment tax of \$1.5 million and dividends of \$0.5 million	
9. \$2 million worth of financial assets are classified as held for the long term and \$1 million is held for sale at any time. The market values of the long term and short term financial assets were \$2.05 million and 0.95 million respectively as at 31 December 2014. The gain on market value of long term should be reported in a separate reserve called Financial Asset reserve in the shareholders' funds while loss on short term should be expensed.
10. As at 31 December 2014, the company had prepaid telephone expenses by \$0.05 million and had electricity owing of \$0.15 million. The total tax for the year was estimated at \$2.0 million. The closing inventory was \$ 3.5 million.

Required:

- (i) Statement of Profit or Loss for the year ended 31 December 2014. **(9 marks)**
- (ii) A statement of financial position as at 31 December 2014. **(8 marks)**

QUESTION 3 (25 Marks)

- a) Briefly explain FIVE factors that contribute to the successful implementation of a budget **(10 marks).**
- b) The St. Aquinas Mercy Sisters is a hospital that provides both outpatient and inpatient services. The accountant would like to know how much to charge for providing inpatient services more specifically

a bed. Assume that the cost of drugs and doctors, consultancy fees are already known and we only need to compute bed charges.

Now, a patient has the option of being admitted in the general ward or the private ward. The following information relate to the wards:

	General	Private
Number of rooms	40	20
Number of beds in each room	50	5
Estimated daily occupancy (365 days)	80%	70%
Estimated annual cost of meals	\$2,336,000	\$255,500
Direct costs of managing a room daily	\$12	\$20

In addition the following overheads apply to the entire inpatient department:

	\$
Annual Salary to the chair of inpatient department	60,000
Salaries to nurses serving in the rooms	300,000
Salaries to other support staff	120,000
Depreciation of furniture, machines and other gadgets	200,000
Water, electricity and other utilities	40,000
Other overheads allocated to the inpatient department	200,000

Most of the overheads are allocated in the ratio of 60:40 between the General and Private wards except for 'other overheads' which are allocated equally between the two.

Patients in the general ward are charged 10% extra on the cost while those in private wing are charged 20% in order to cover for inflation and other costs.

Required

(i) Determine the average charge per bed. **(13 marks)**

(ii) Discuss briefly TWO factors that the hospital should consider when setting the bed charges.

(2 marks).

QUESTION 4 (25 Marks)

a) Using Suitable examples explain THREE features of relevant costs for decision making.

(6 marks)

b) Copy Fox Limited is a local company that manufactures three models of Scanners i.e. SC001, SC002 and SC003. The management is unhappy about the current production mix and is seeking advice on the most optimal arrangement. Current production is 100,000 units of SC001, 50,000 units of SC002 and 60,000 units of SC003. The data relating to production costs for each unit of the scanners are given below:

	SC001	SC002	SC003.
Production costs	Sh.	Sh.	Sh.
Direct material	3,000	9,000	6,000
Variable overhead	1,500	4,000	4,500

Additional information:

- Each type of scanner passes through three departments in which a different type of labour is used. The labour requirements in each department are given below:
-

Department	Rate per hour	Labour requirement (hours)		
	Sh.	SC001	SC002	SC003
1.	200	3	4	6
2.	400	1	2½	4
3.	300	5	7	9

- There is a shortage of labour in department 2 and it is not possible to increase labour input hours beyond the level currently utilized
- Fixed overheads are budgeted at Sh.500, 000,000 per annum and they are expected to remain constant.
- Market prices are currently Sh.12,000 for SC001, Sh. 20,000 for SC002 and Sh.22,500 for SC003.
- A recent market survey disclosed that maximum sales potential for the company is 125,000 units of SC001, 75,000 units of SC002 and 80,000 units of SC003.

Required:

- Determine the profit made on the current production mix. **(7 marks)**
- Determine the most profitable production mix that should be adopted by the company. **(7 marks)**
- Calculate the expected profit if the production mix in (b) above is adopted by the company. **(2 marks)**
- Which other considerations may be necessary before adoption of the change in production mix? **(3 marks)**